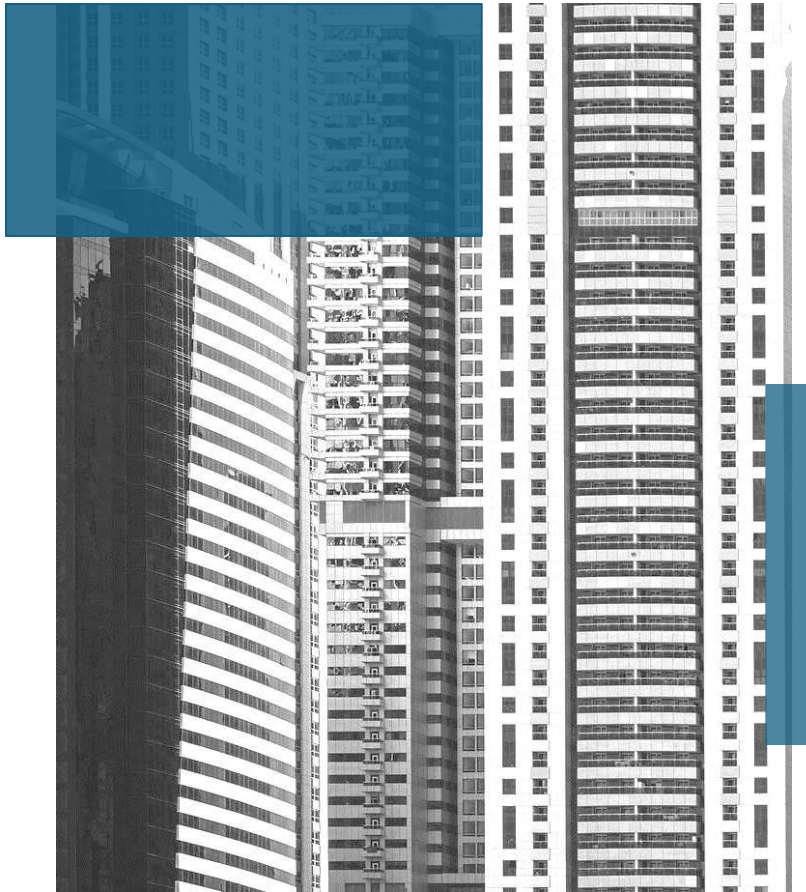


The Canadian Economy: Adapting to a Changing Trade Landscape

**Diya Arora
Kaustubh Chati
Michelle Chakanyuka
Rishabh Singh
Tegen Hilker Readman**



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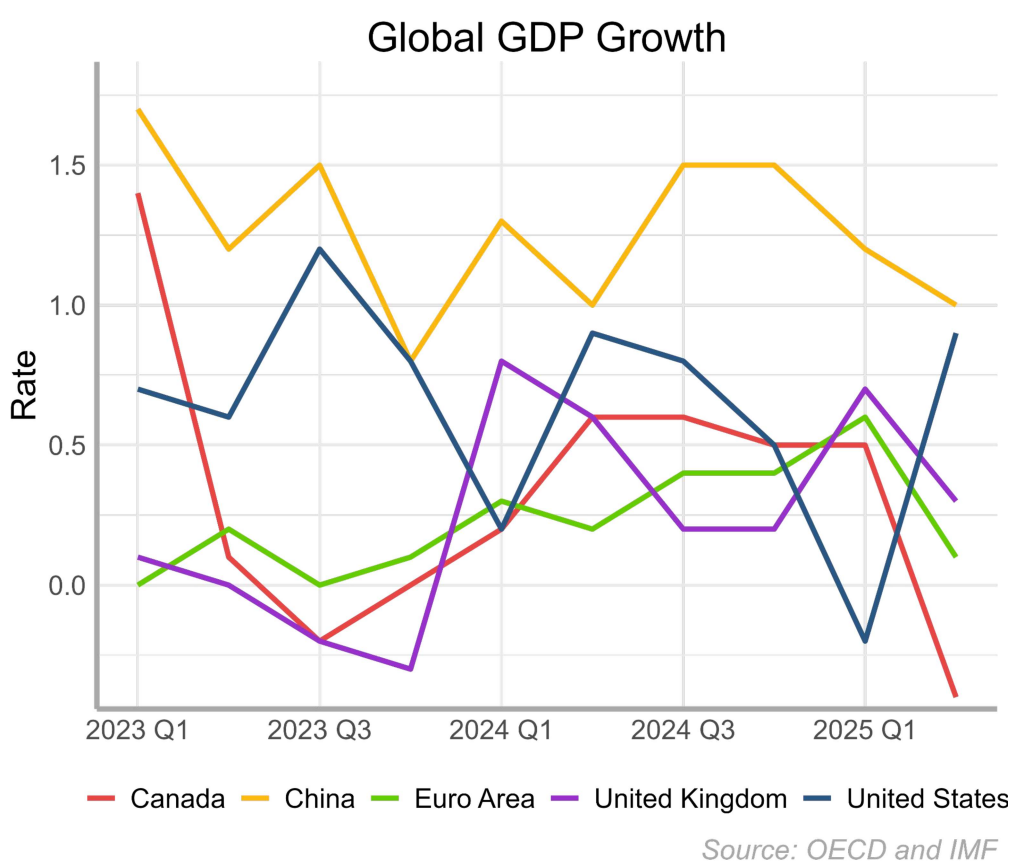
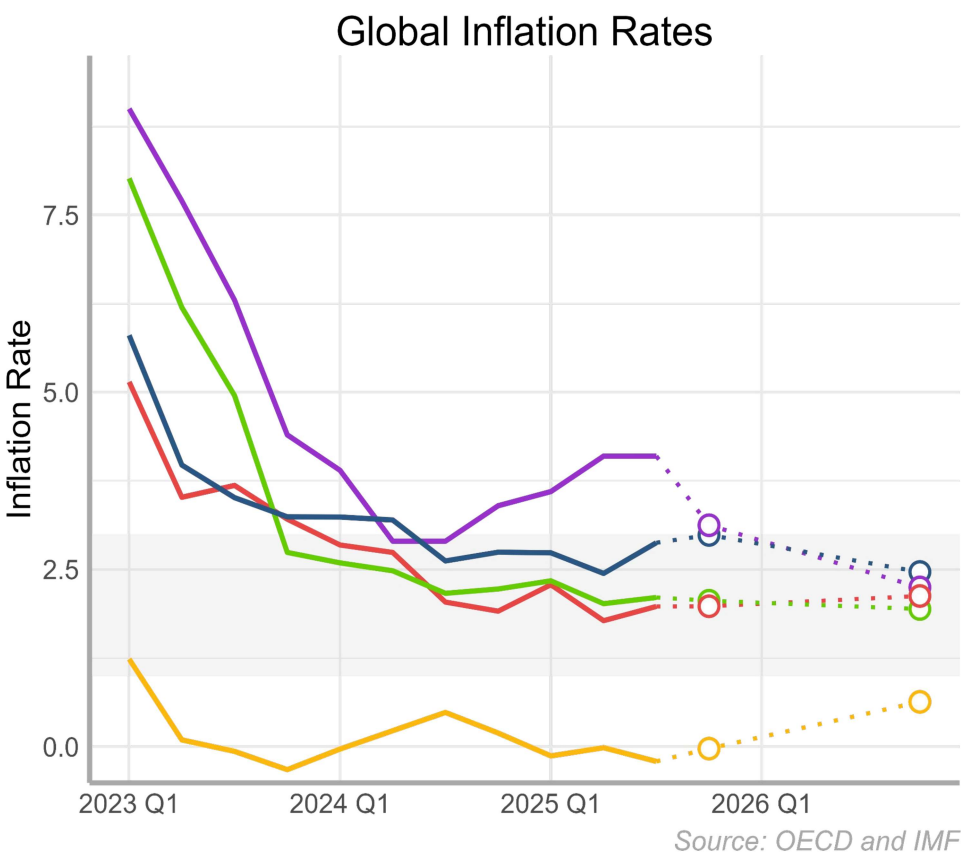
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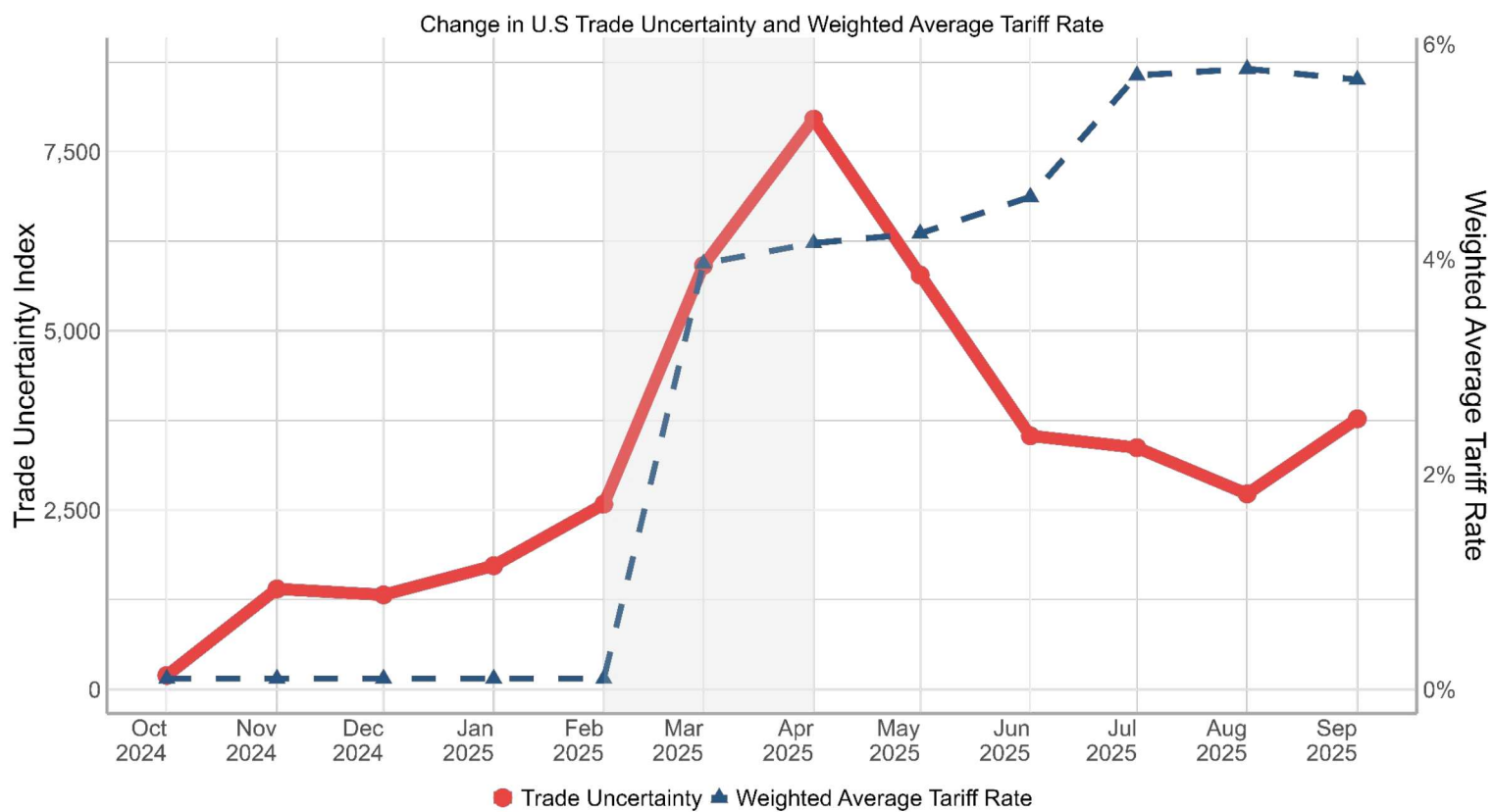
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Appendix

Global Inflation Cools While Growth Softens



Initial Tariff Shock Led to Trade Uncertainty Spike

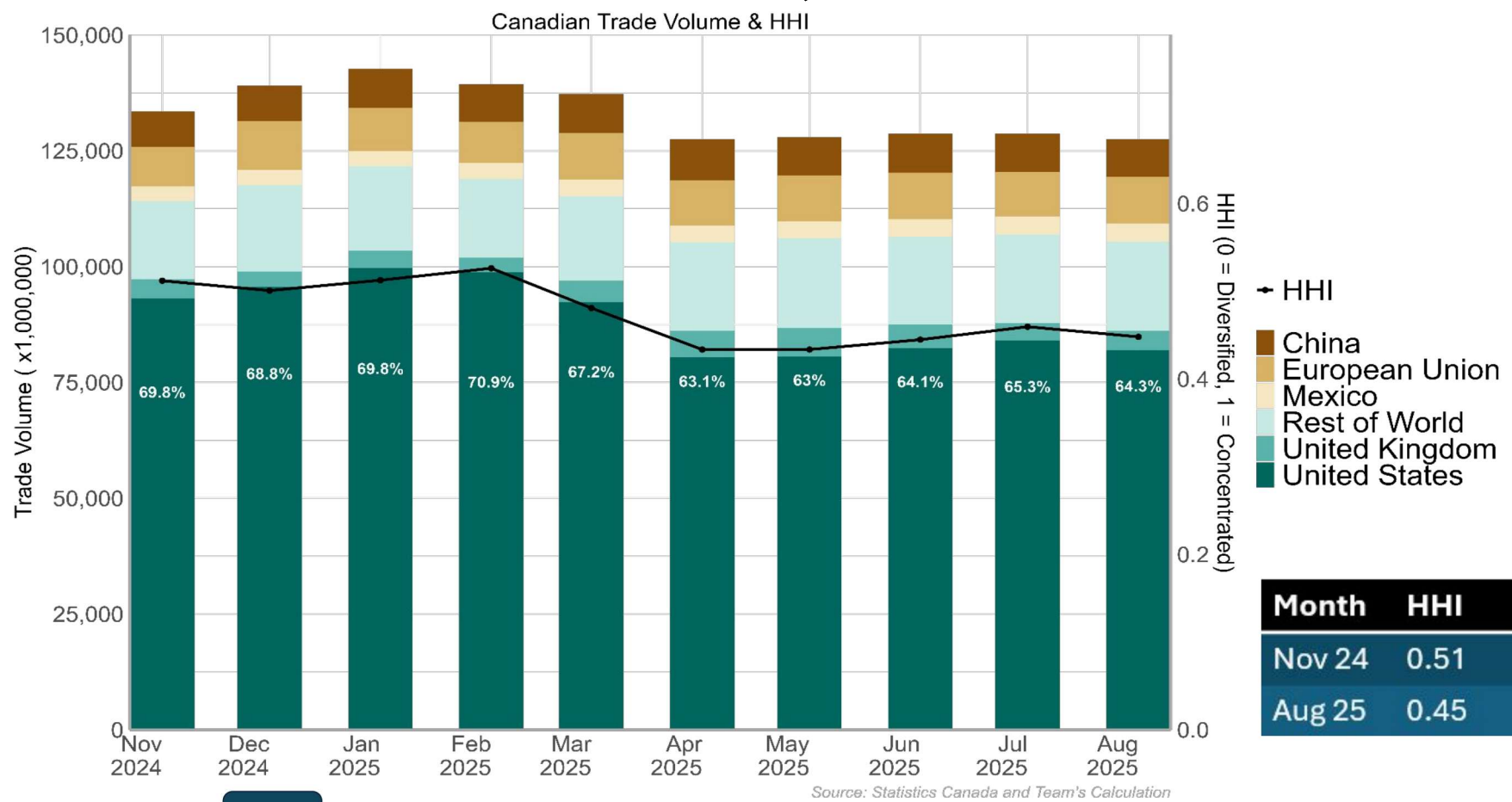


Source: FRED, Statistics Canada and Teams Calculation

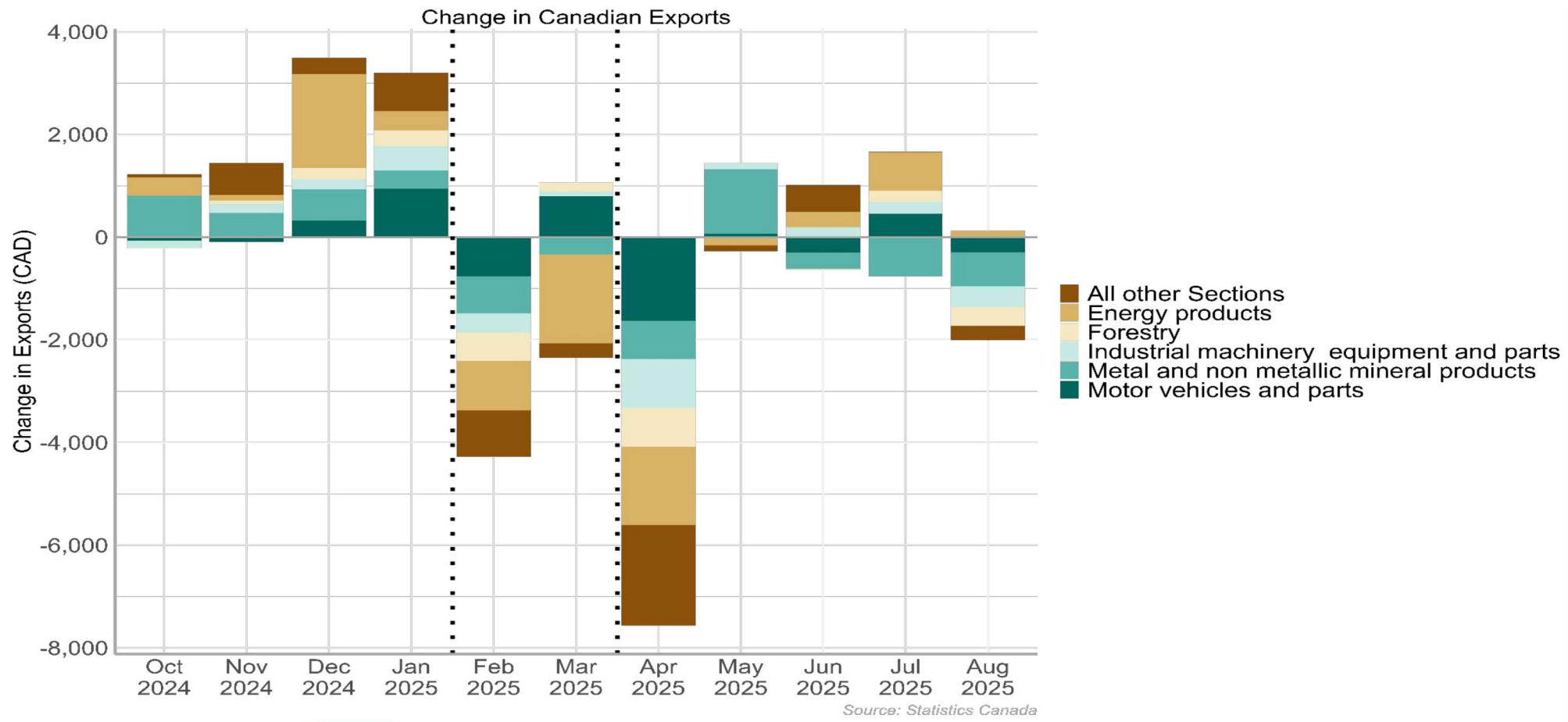
**U.S TARIFF
TIMELINE**

- January 2025**
America First Trade Policy
- March 2025**
Tariff Pause in CUSMA-Compliant Goods
25% Canadian Products
25% Steel & Aluminium
10% Energy Products
Originally expected in February
- April 2025**
Liberation Day Tariffs
25% on Auto Imports
25% Non-CUSMA-Compliant goods
- June 2025**
Aluminium & Steel Tariffs increase to 50%
- August 2025**
50% on Copper imports
- October 2025**
10% Softwood Lumber
25% Certain Wood Products
25% on Kitchen Cabinets

Canada Broadens Trade Ties, but U.S Still Dominates



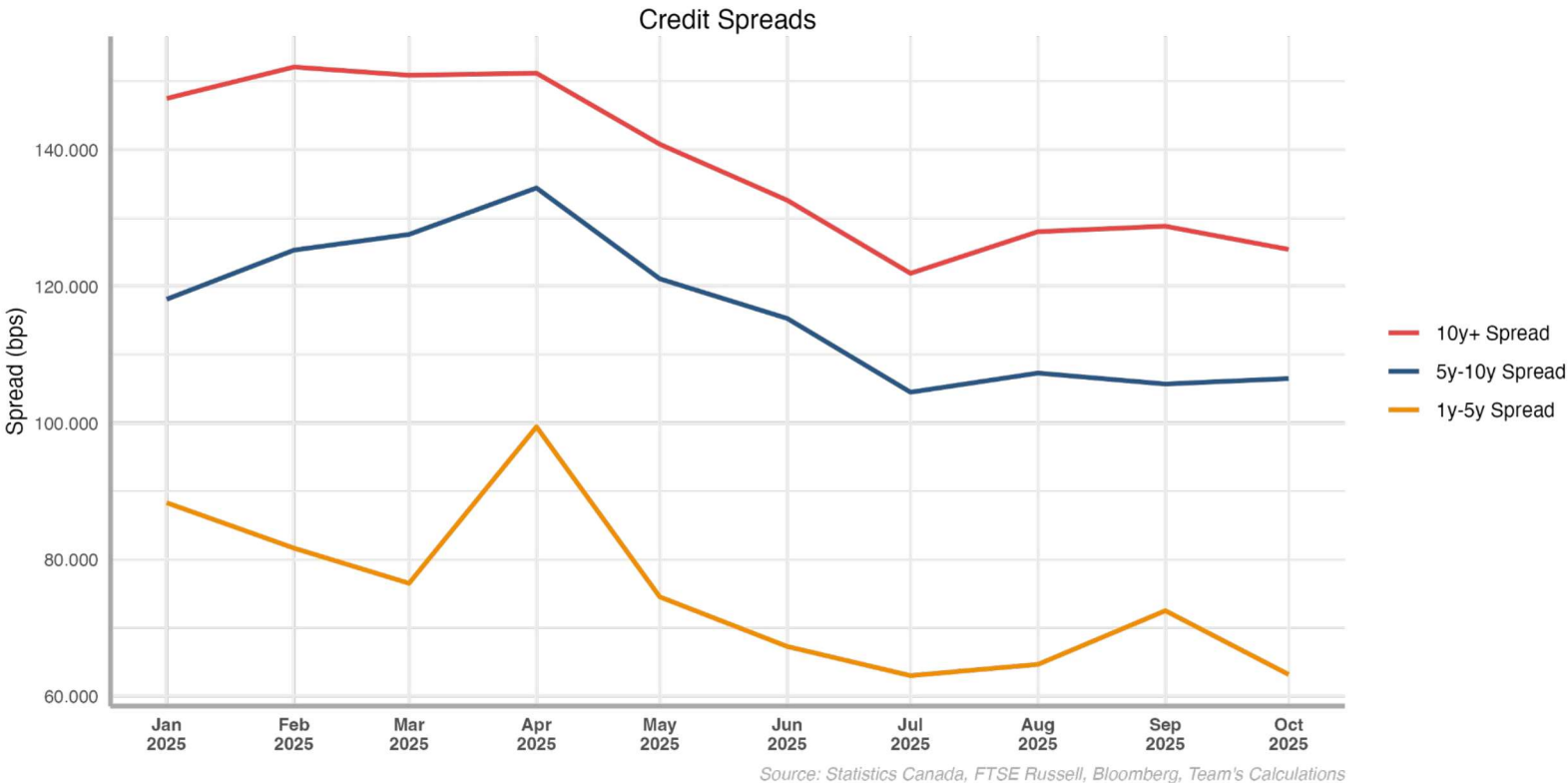
Downturn in Canadian Exports Resumes



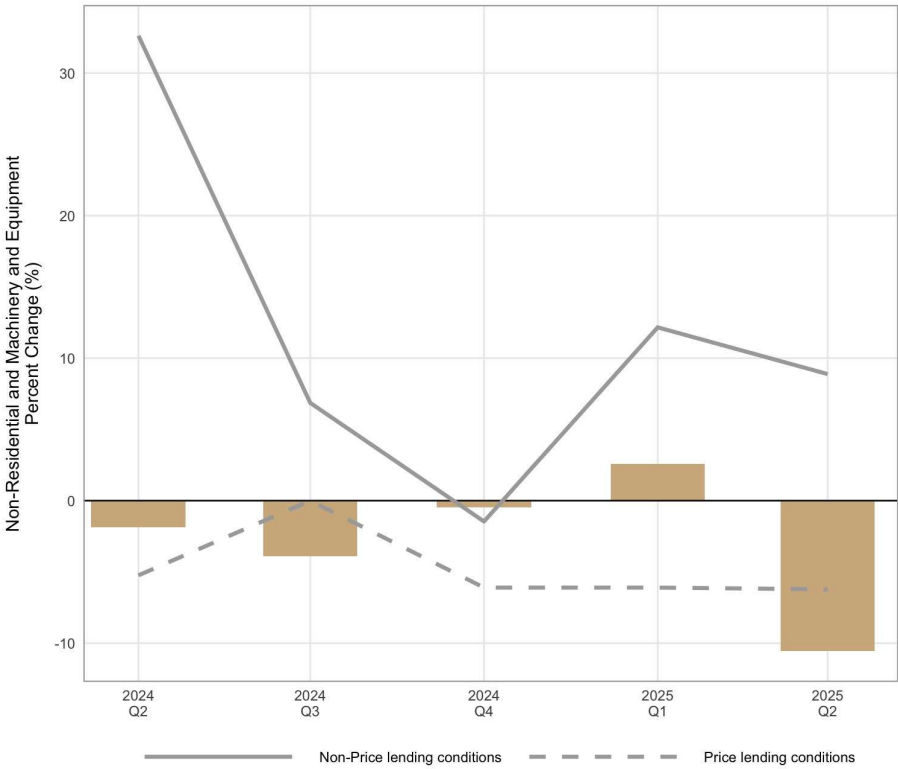
Investors Favour Canadian Debt, but Shun Equity



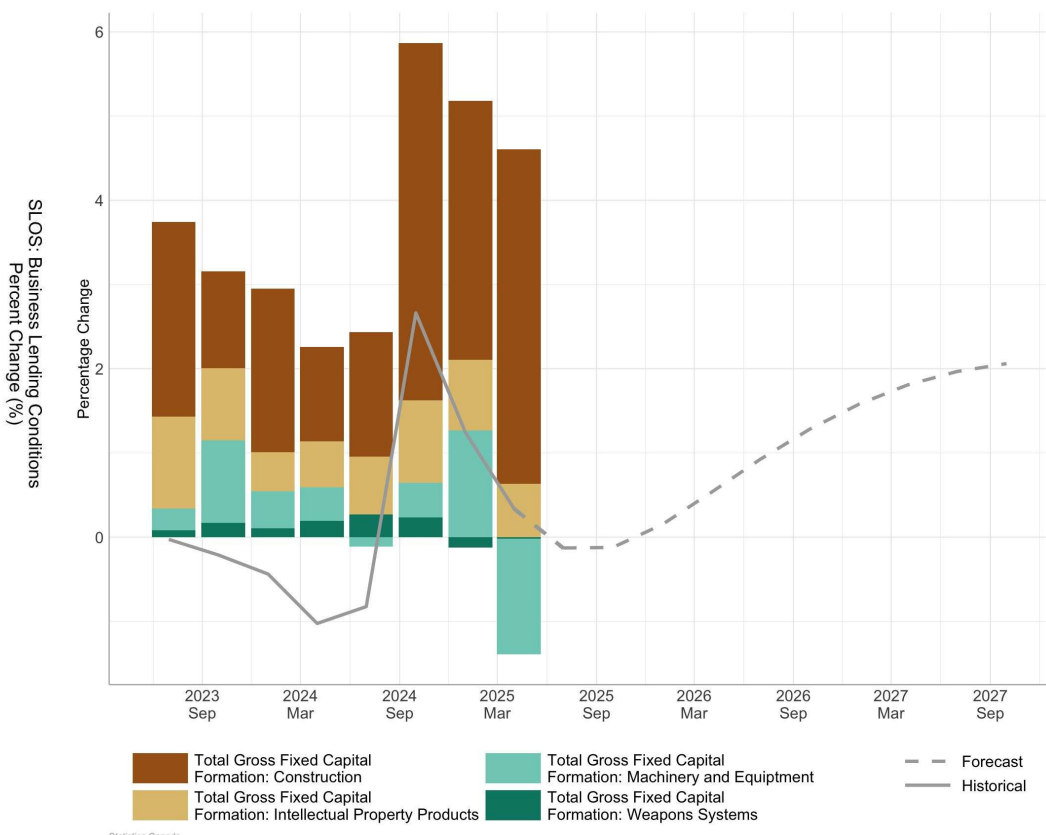
Markets Signal Moderating Risk



CapEx Weakness Persists: Modest Investment Recovery Expected



Statistics Canada. Senior Loan Officer Survey.



Statistics Canada.

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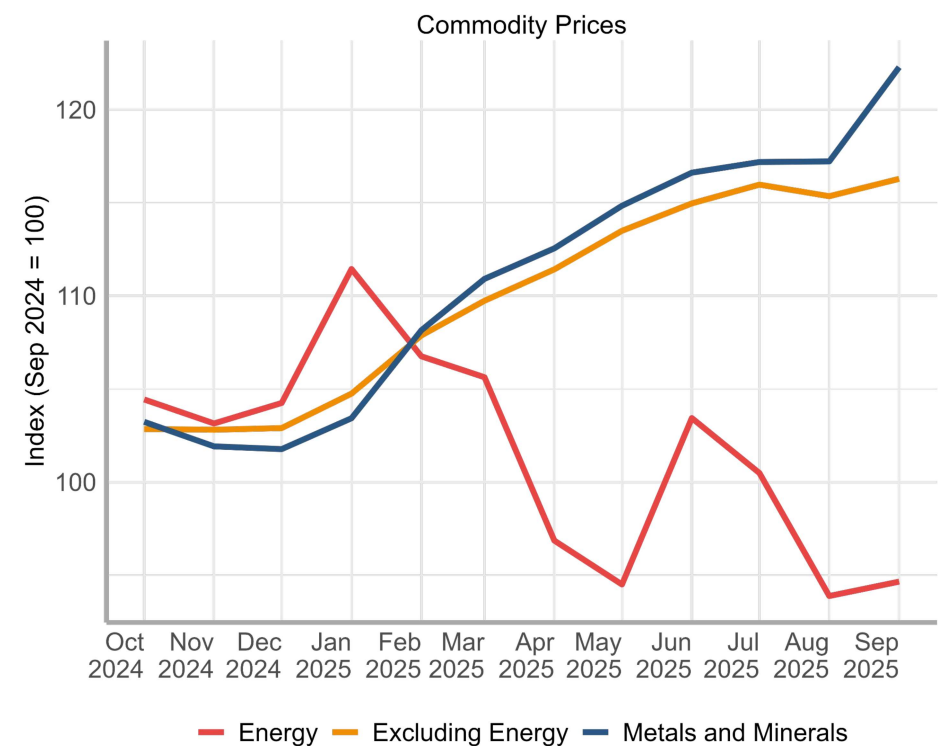
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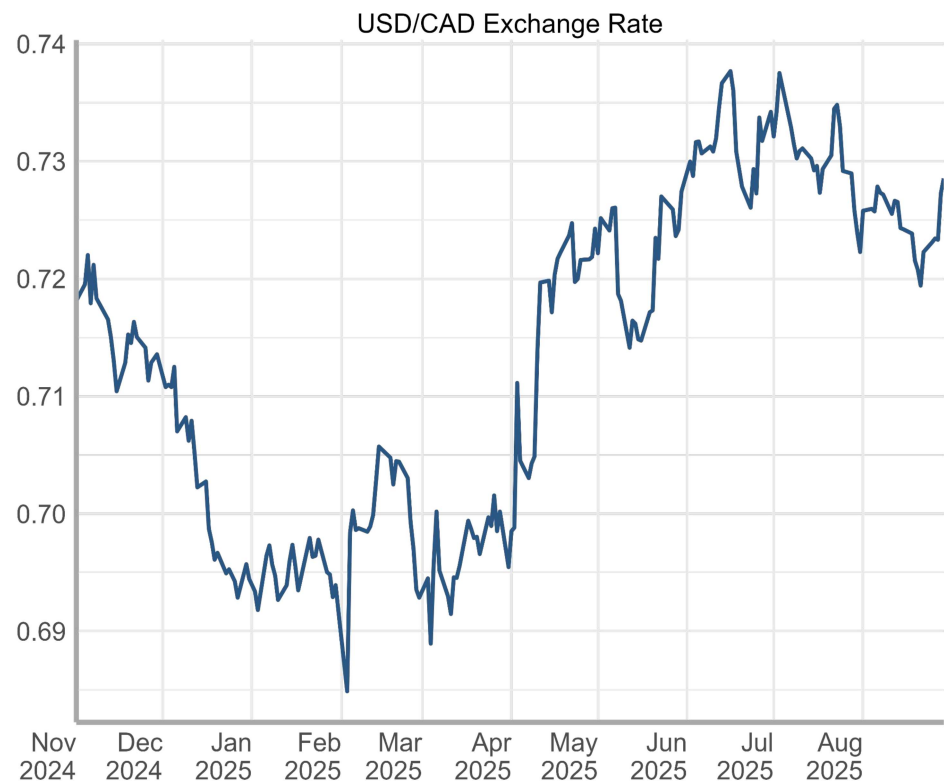
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Appendix

Exchange Rate Volatile Amid Uncertainty and Diverging Commodity Trends



Source: Bank of Canada



Source: FRED

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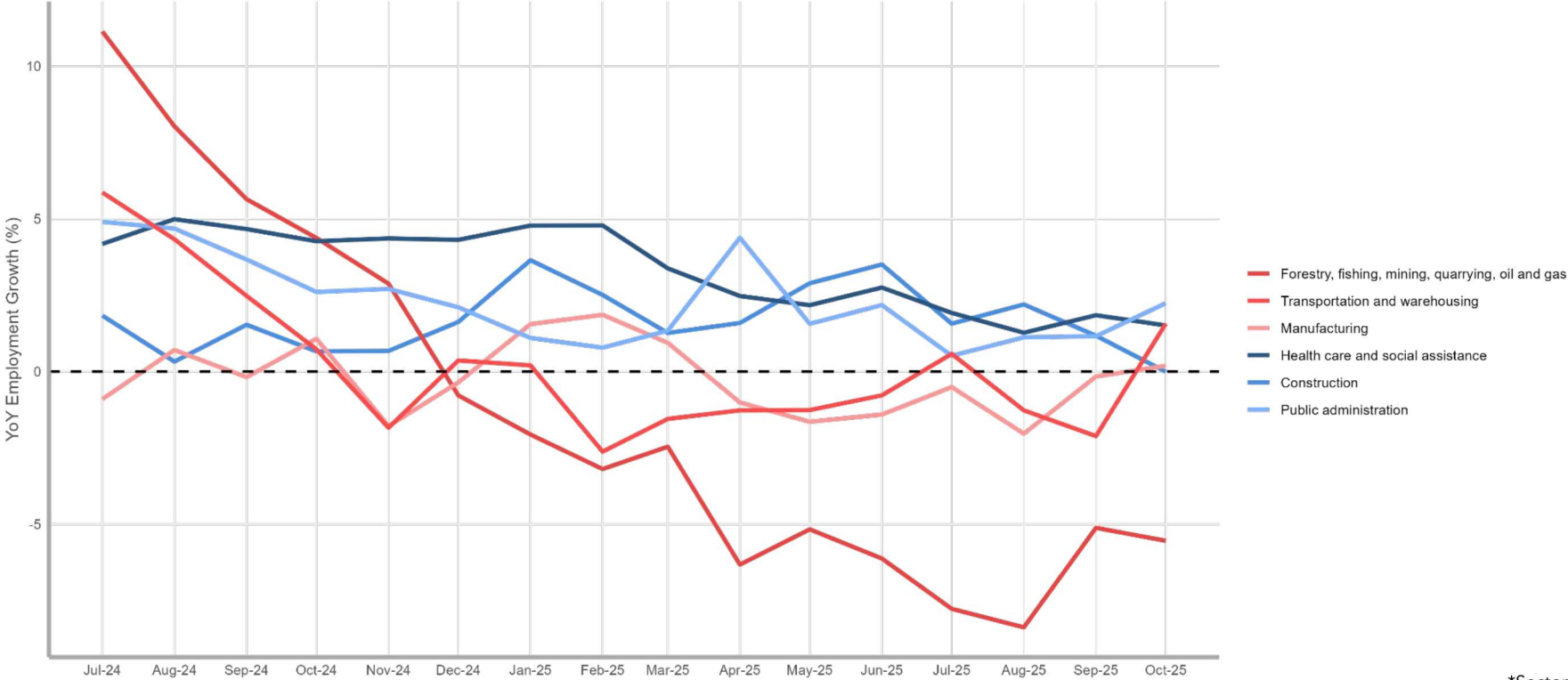
Risk Scenario Forecasts

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Appendix

Export-Heavy Sectors Shed Jobs While Domestic Industries Stay Resilient

Employment Growth by Sectoral Reliance on Exports*
Darkest Red = Most Reliant, Darkest Blue = Least Reliant

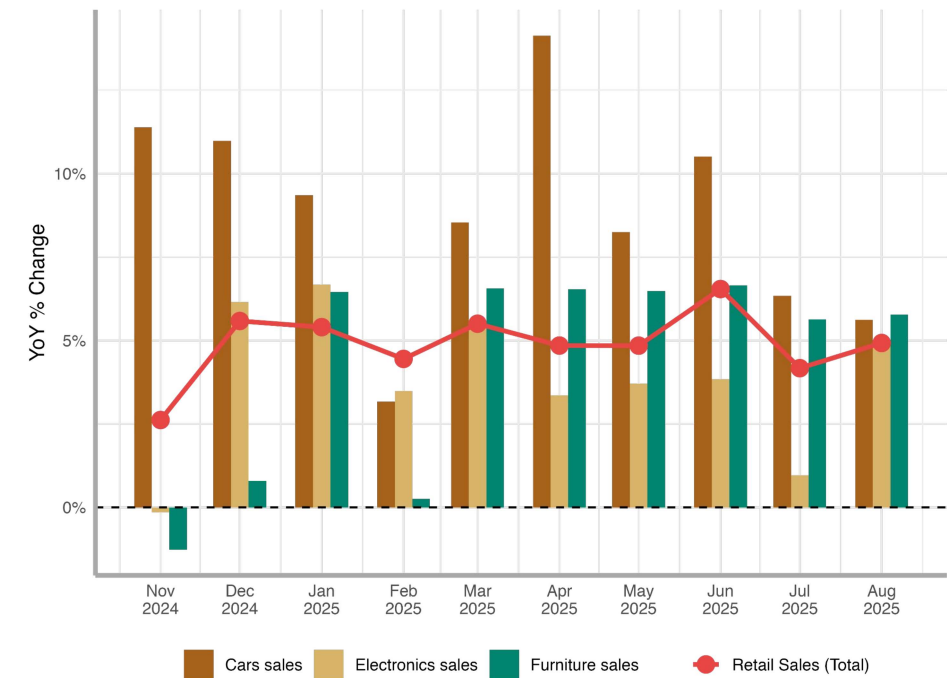


Source: Statistics Canada Tables 12-10-0098-01 and 14-10-0355-01

*Sector reliance calculated as the ratio of exports to production

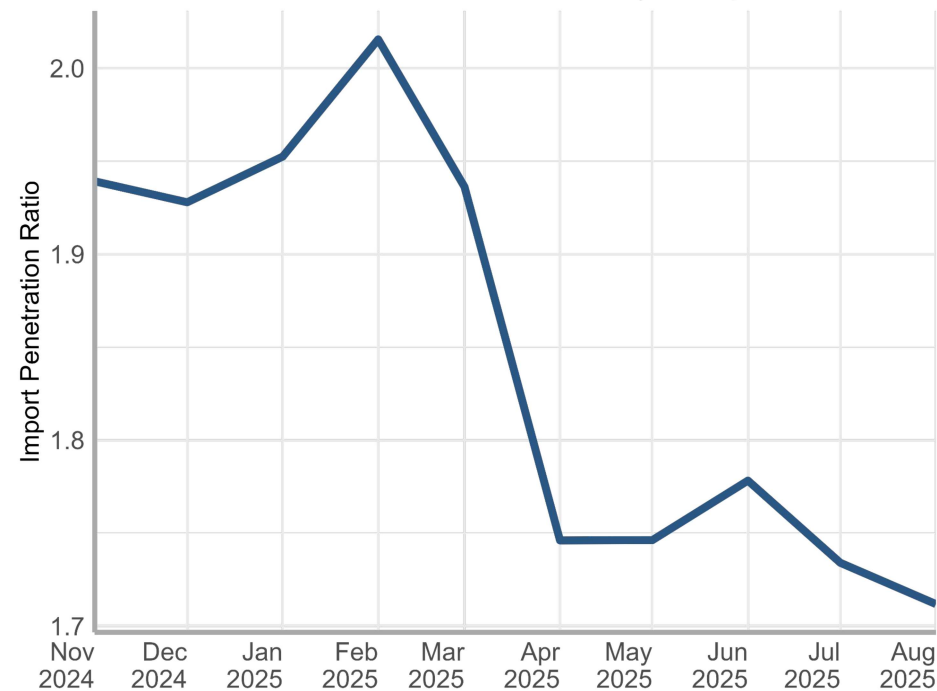
Strong Consumption Growth Moderates GDP Declines as Households Embrace “Buy Canadian” Sentiment

Change In Retail Sales
Sales For All The Durable Components Go Up



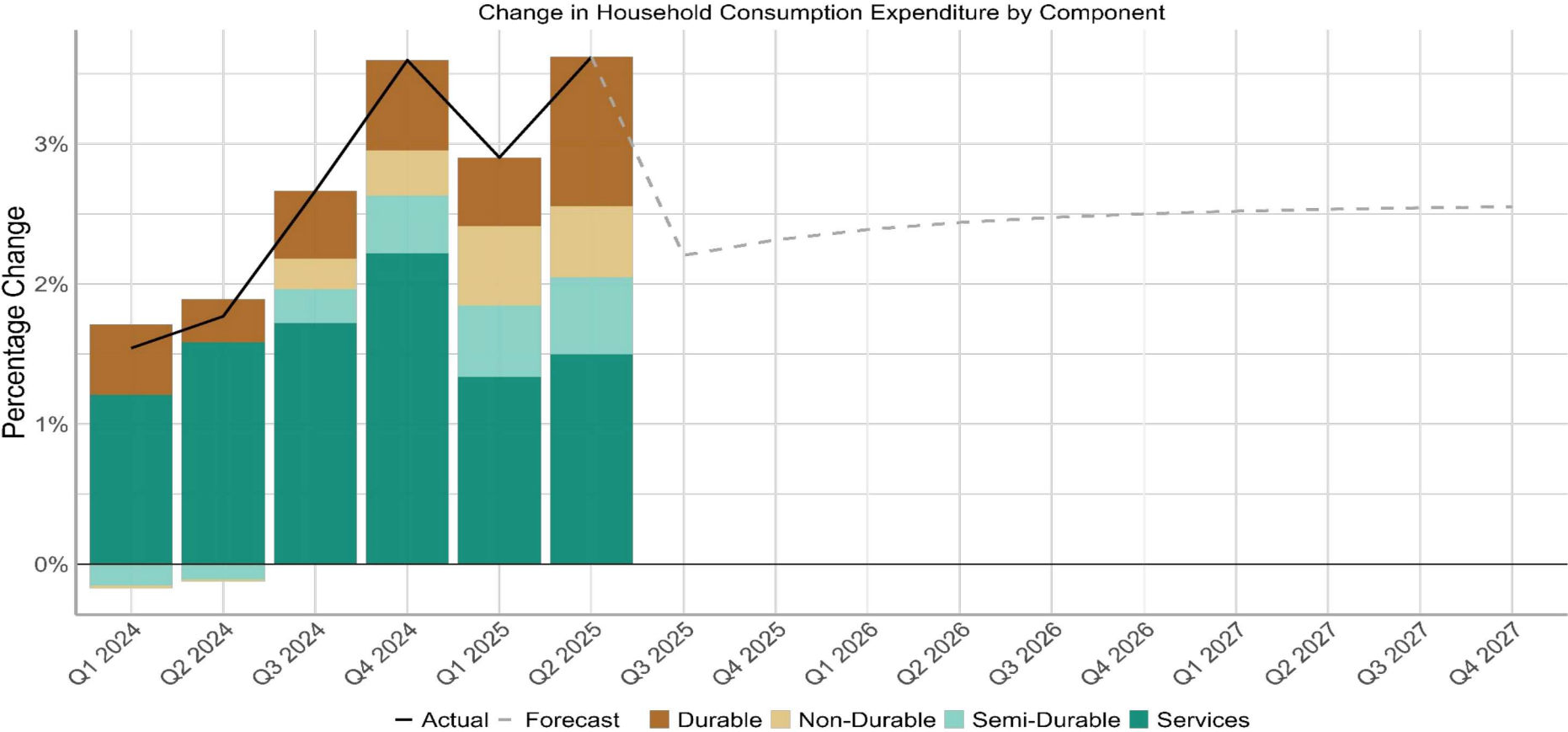
Source: Statistics Canada

Canadian Import Penetration From US
Share of Canadian Demand Met by US Imports



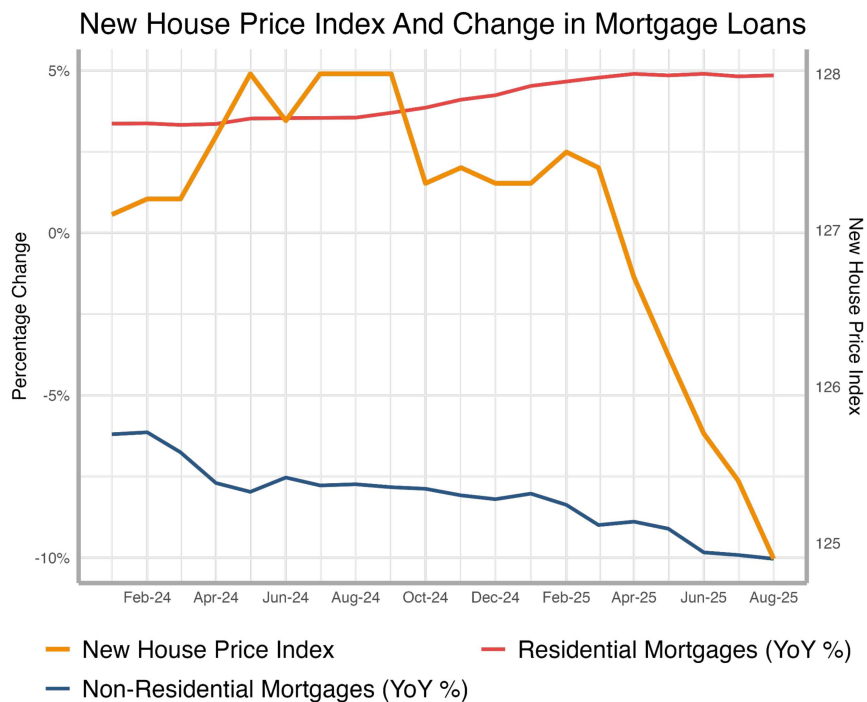
Source: Statistics Canada and Team's Calculation

Consumers Readjusting Expenditures as Uncertainty Persists



Source: Statistics Canada and Team's Calculation

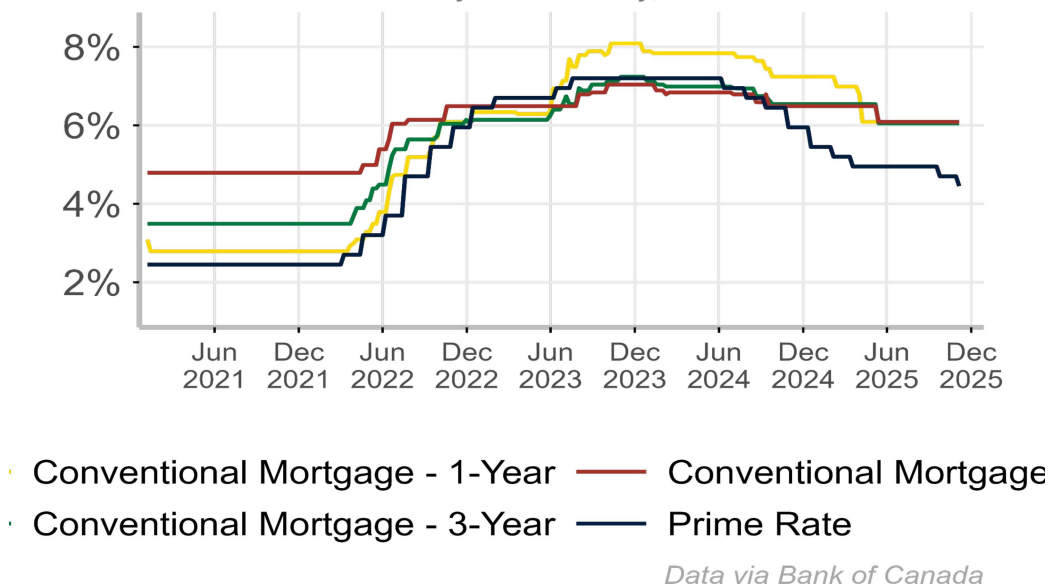
Housing Market Showing Signs of Stress Despite Moderating Mortgage Rates



Source: Statistics Canada

Interest Rates Posted For Selected Products By Major Banks

Weekly Wednesday, Rates



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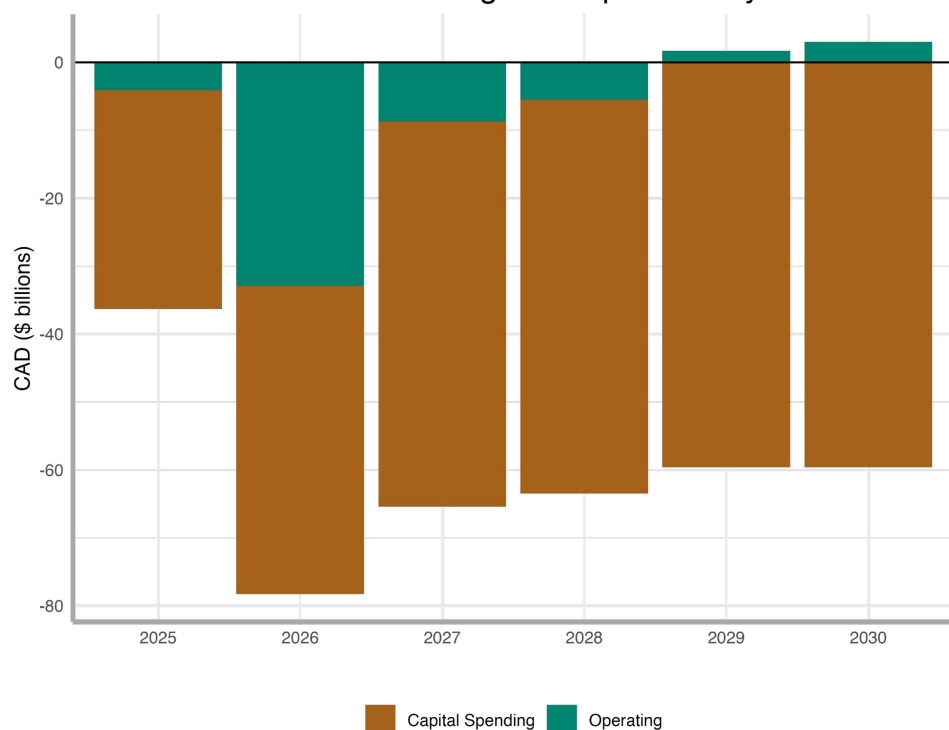
Risk Scenario Forecasts

Policy Recommendation

Appendix

Fiscal Policy to Reignite Investment Amidst Uncertainty

Planned Fiscal Budget Components by Year



Source: Department of Finance Canada

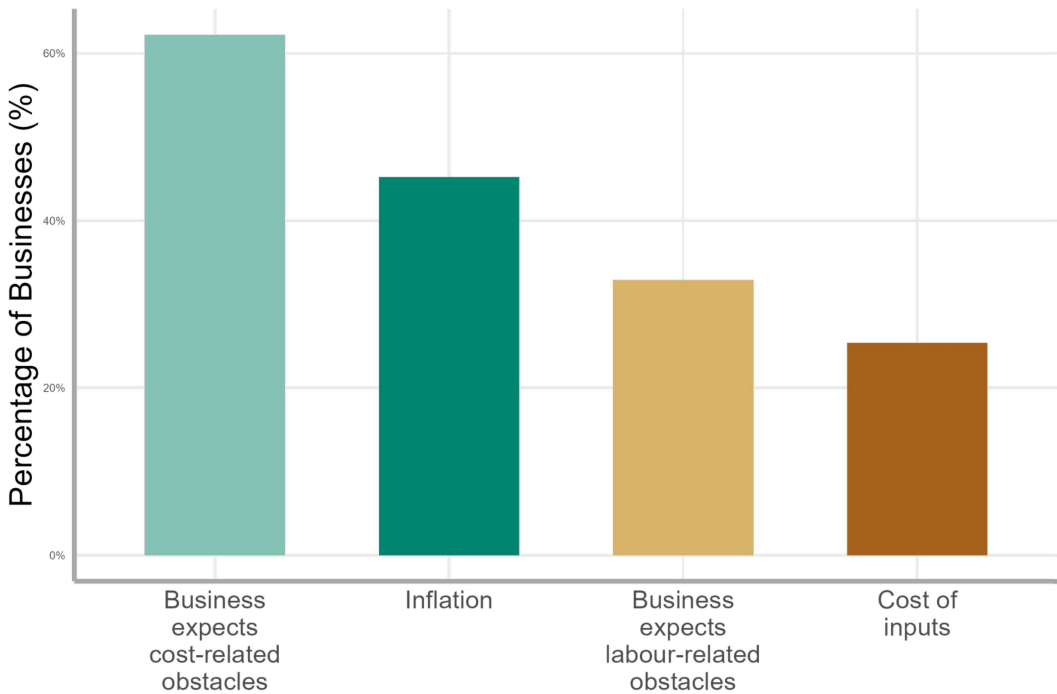
Budget 2025 Key Takeaways

- \$78B deficit in '25-'26 (2.5% of GDP), easing to \$57B by '30
- Debt peaks at 43.3% of GDP in '28-'29 before stabilizing
- Capital spending ~1.7% of GDP; operating balance positive by '29
- Investments in infrastructure (\$115B), defense (\$59B), and housing (\$13B)
- \$60B savings from Comprehensive Expenditure Review over five years

Source: RBC, "Budget 2025 Federal budget"

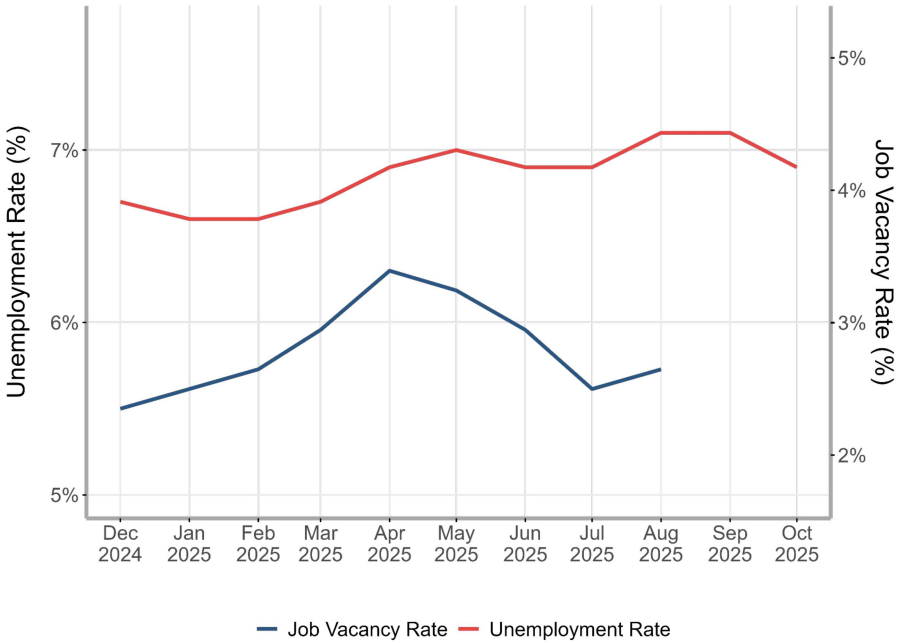
Labour Market Softening Amid Rising Cost Expectations

Businesses Anticipated Obstacles Over the Next Three Months
% of businesses indicating each obstacle



Source: Statistics Canada, Canadian Survey on Business Conditions

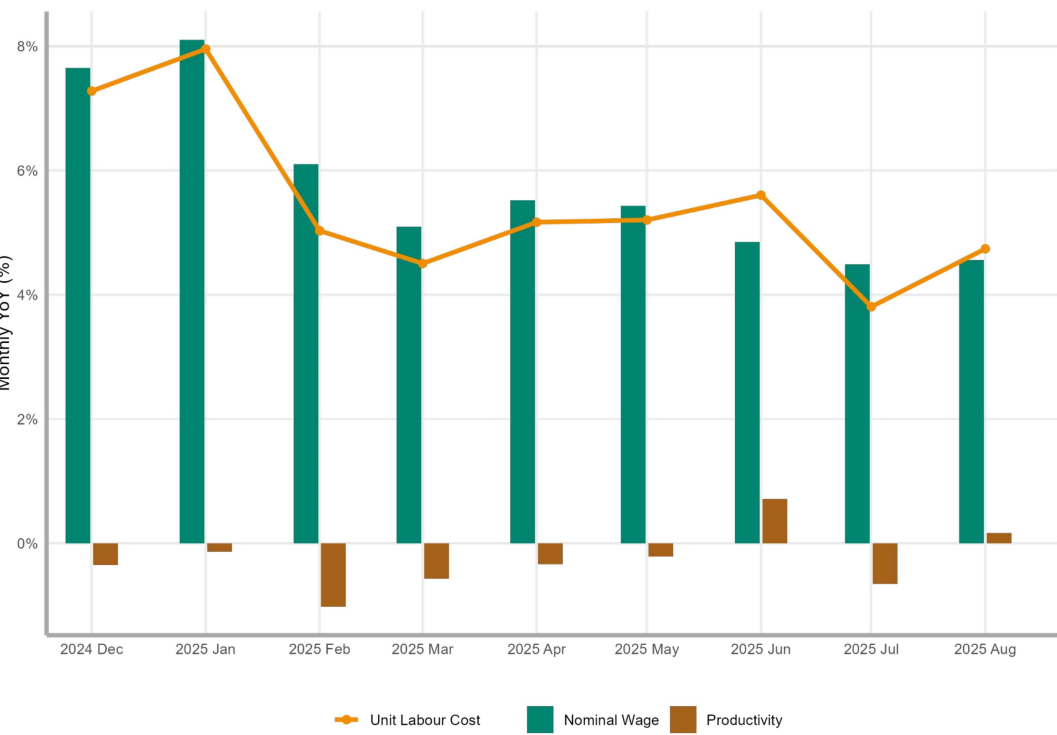
Unemployment and Job Vacancy Rate



Source: Statistics Canada, Tables 14-10-0287-01 and 14-10-0372-01

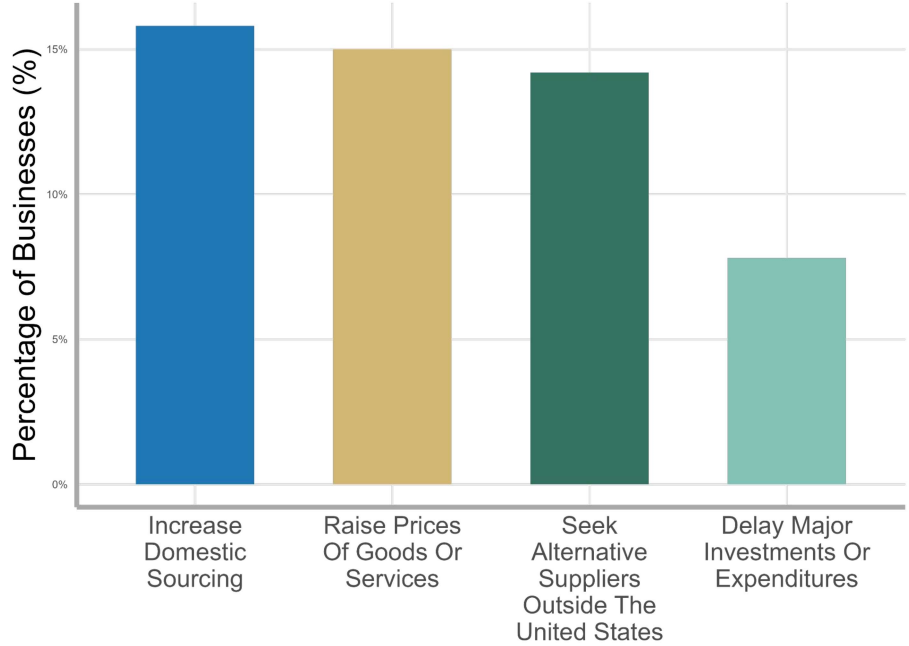
Rising Costs and Stagnating Productivity Indicate Looming Price Increases

Contributions to Unit Labour Cost Growth



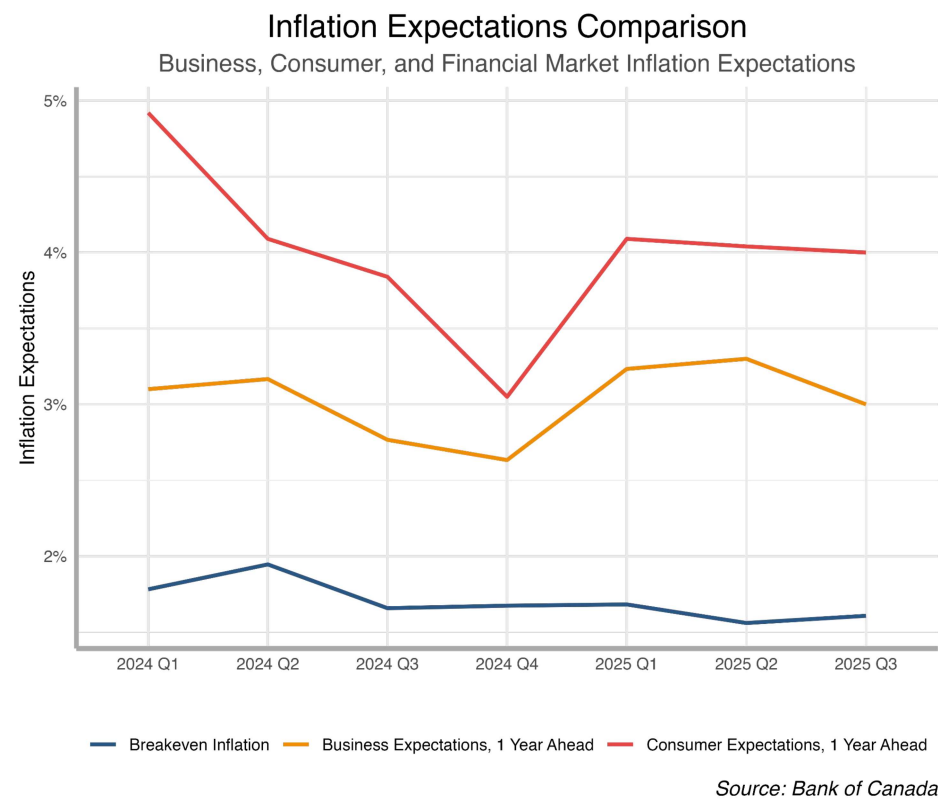
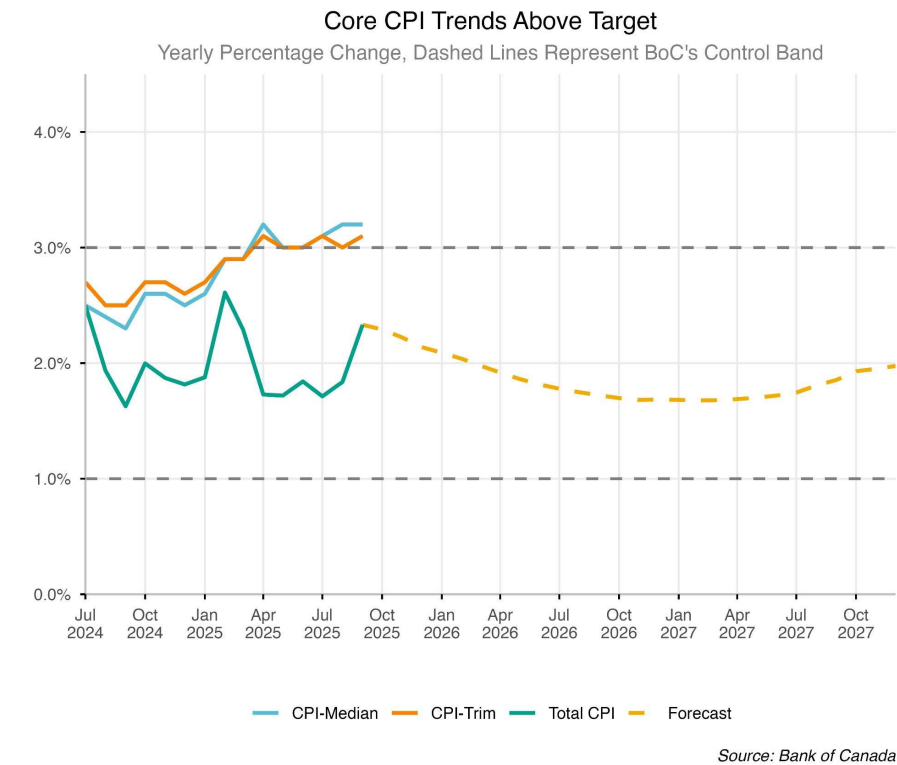
Source: Statistics Canada

Top Planned Actions by Canadian Businesses in Response to U.S. Tariffs
% of businesses indicating each action

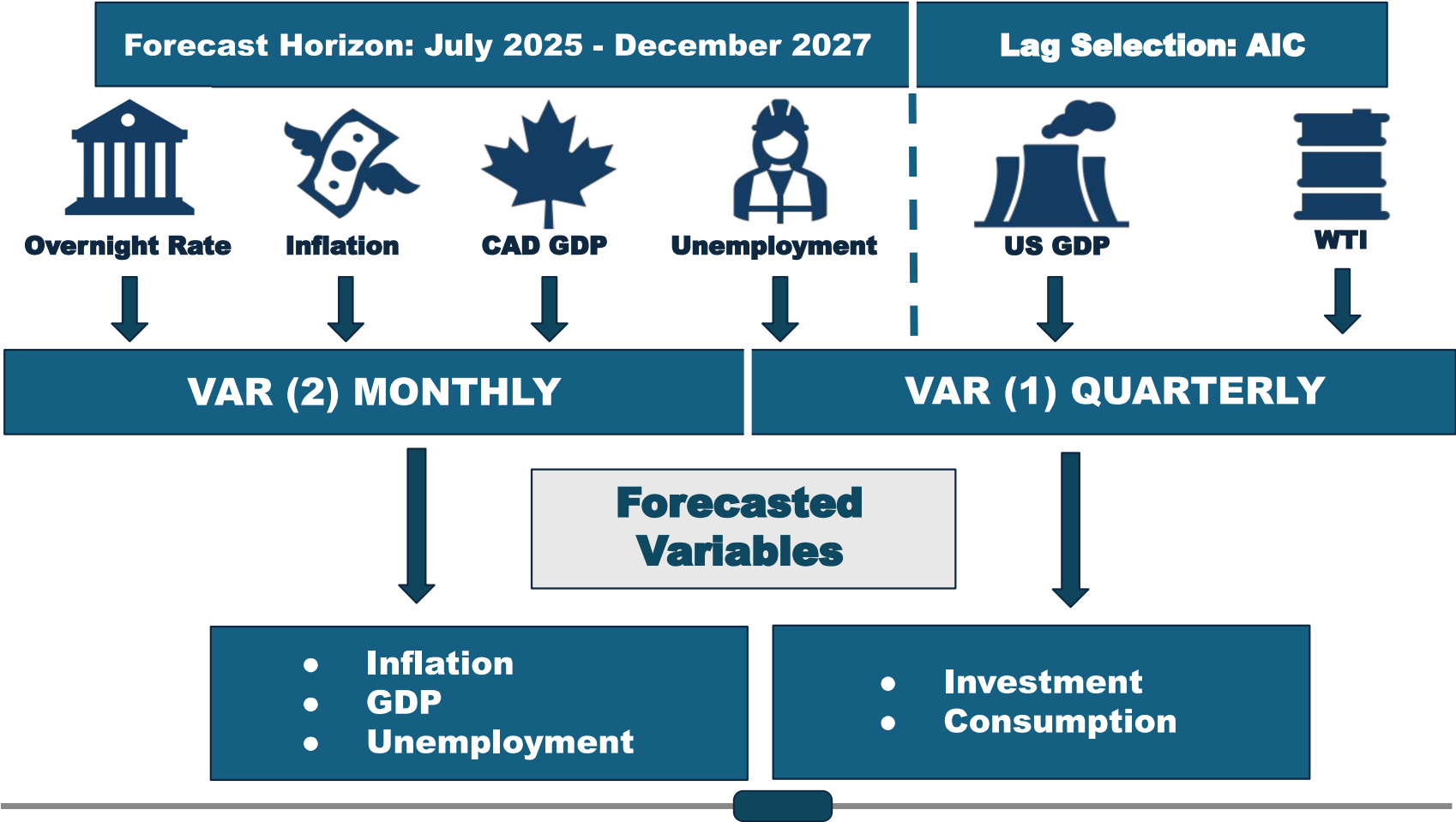


Source: Statistics Canada, Canadian Survey on Business Conditions

Tariff-Induced Uncertainty Culminating in Rising Inflation Expectations



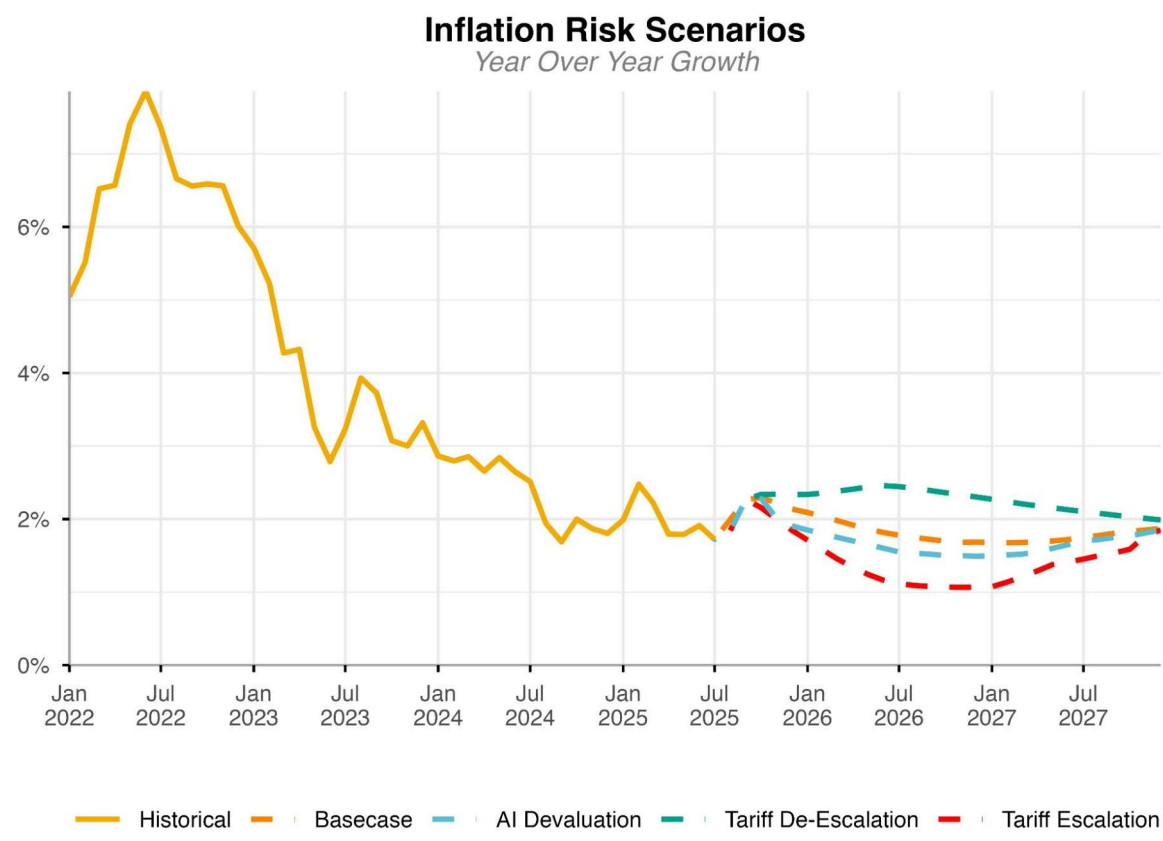
Forecast Model Overview



Risk Scenarios

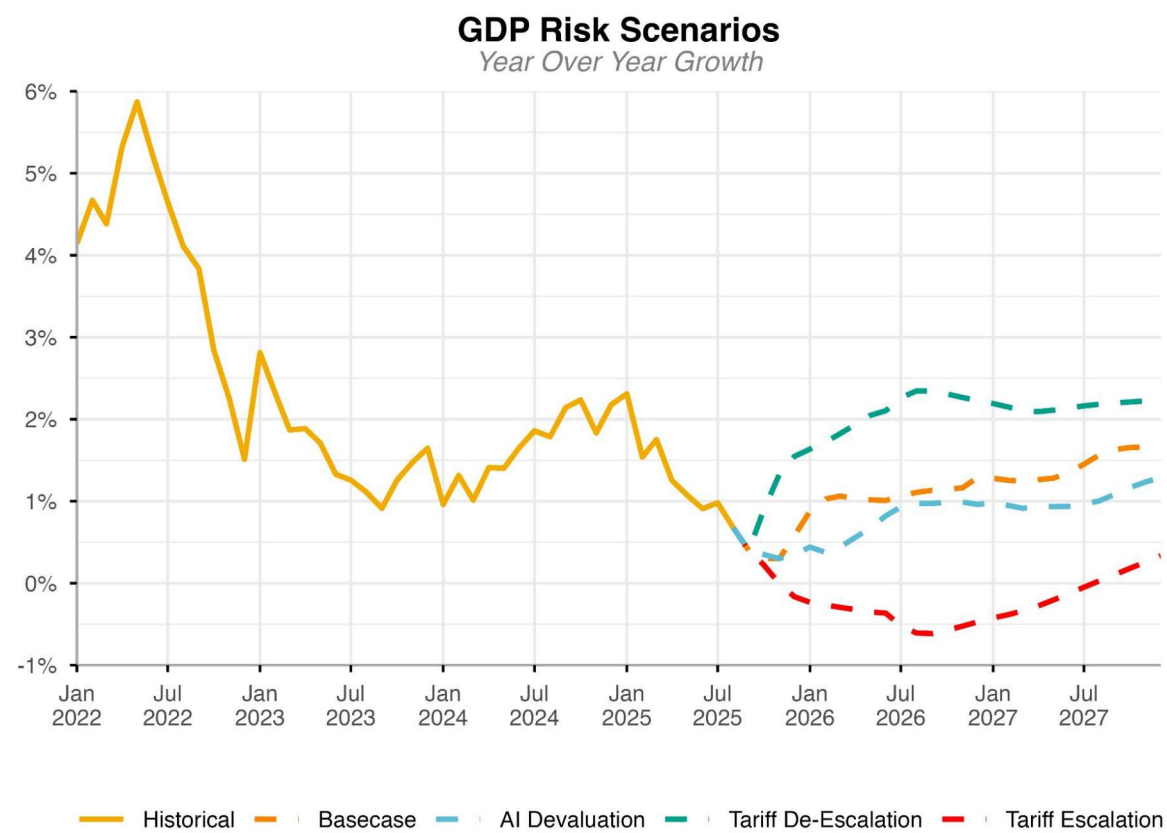
SCENARIO	IMPACT	POLICY RESPONSE
United States Tariff Escalation	Inflation declines sharply	Cut interest rate
United States Tariff De-Escalation	Inflation increases rapidly	Raise interest rate
Devaluation of AI Adjacent Equities	Inflation decreases moderately	Keep interest rate steady

Risk Scenarios



Source: Statistics Canada, FRED, EIA, Capital IQ & Team's Calculations

Risk Scenarios



Source: Statistics Canada, FRED, EIA, Capital IQ & Team's Calculations

Policy Recommendation

Hold target overnight interest rate at 2.25% until the end of 2025

- Allow time for recent rate cut to permeate through the economy
- Data-dependent adjustments amid CUSMA renegotiation and global trade adjustments
- Stand ready to raise rate if inflation expectations accelerate
- Reaffirm commitment to maintaining low, stable, and predictable inflation

